Goods and Services Tax (GST) Returns for Microsoft Corporation (July 2026)

microsoft

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1. GST Return Overview

Microsoft Corporation (PAN: AAACM1234A, CIN: C065237-WA) submits this GST return for the fiscal year ending June 30, 2026. The return covers all taxable supplies, input tax credits (ITC), and net tax liabilities under the U.S. GST framework. Compliance with federal and state tax regulations is confirmed, and all figures are reported in USD.

This return integrates data from prior submissions (e.g., GST_Registration.pdf) and aligns with Microsoft's financial disclosures (e.g., Company_Profile.pdf, Declarations.pdf). No discrepancies exist with existing loan facilities (Existing_Loan_Details.pdf) or asset valuations (Asset_Details.pdf).

Fiscal Year	Return Period	GSTIN Status	Filing Date
2025-2026	July 1, 2025 – June 30, 2026	Active (Registered)	July 18, 2026

2. Taxable Supplies and Output Tax

Microsoft Corporation's taxable supplies for FY 2025-2026 include software licenses, cloud services (Azure), hardware sales, and enterprise solutions. Output tax is calculated at the standard U.S. GST rate of 10% on all taxable supplies, excluding exempted services (e.g., certain educational licenses).

Key customers contributing to taxable supplies include Walmart Inc., Amazon.com, Inc., and Apple Inc. (see Company_Profile.pdf for full customer list). Suppliers such as Intel Corporation and TSMC are excluded from output tax calculations as they operate under reverse charge mechanisms.

Category	Taxable Value (USD)	Output Tax (10%)	Total (USD)
Software Licenses	85,000,000	8,500,000	93,500,000
Cloud Services (Azure)	62,000,000	6,200,000	68,200,000
Hardware Sales	31,000,000	3,100,000	34,100,000
Enterprise Solutions	22,000,000	2,200,000	24,200,000
Total	200,000,000	20,000,000	220,000,000

3. Input Tax Credit (ITC) Utilization

Microsoft Corporation claims ITC on eligible inputs, including procurement from suppliers (e.g., Intel, TSMC, Samsung), operational expenses, and capital goods. ITC is adjusted against output tax liabilities to determine the net tax payable. Non-eligible ITC (e.g., personal expenses, non-business purchases) is excluded per U.S. GST guidelines.

Supplier invoices are cross-referenced with purchase records (see Asset_Details.pdf for supplier details). No ITC claims exceed 80% of the total output tax, ensuring compliance with anti-avoidance rules.

ITC Category	Eligible ITC (USD)	Non-Eligible ITC (USD)	Total ITC Claimed (USD)
Procurement (Suppliers)	12,000,000	0	12,000,000
Operational Expenses	4,500,000	500,000	4,000,000

ITC Category	Eligible ITC (USD)	Non-Eligible ITC (USD)	Total ITC Claimed (USD)
Capital Goods	2,000,000	0	2,000,000
Total	18,500,000	500,000	18,000,000

4. Net Tax Liability and Payment

Net tax liability is calculated by deducting ITC from output tax. Microsoft Corporation's net liability for FY 2025-2026 is USD 2,000,000, payable in full by July 20, 2026. Payments are processed via electronic funds transfer to the U.S. Treasury, with confirmation receipts retained for audit purposes.

No outstanding tax liabilities exist from prior periods, and all payments align with the company's cash flow projections (see Existing_Loan_Details.pdf for liquidity details).

Description	Amount (USD)
Total Output Tax	20,000,000
Less: ITC Claimed	18,000,000
Net Tax Liability	2,000,000
Payment Status	Pending (Due: July 20, 2026)

5. Reconciliation with Financial Statements

GST returns are reconciled with Microsoft's financial statements to ensure consistency. Taxable supplies (USD 200,000,000) align with revenue disclosures (USD 211,915,000,000; see Company_Profile.pdf), accounting for exempted and non-taxable transactions. ITC claims are verified against procurement records and capital expenditure reports.

No material discrepancies exist between GST returns and audited financials. EBITDA (USD 90,320,000) and net worth (USD 166,542,000) are unaffected by GST liabilities.

Financial Metric	Value (USD)	GST Impact
Revenue (FY 2025-2026)	211,915,000,000	Taxable: 200,000,000
EBITDA	90,320,000,000	No direct impact
Net Worth	166,542,000,000	No direct impact

6. Compliance and Audit Readiness

Microsoft Corporation confirms full compliance with U.S. GST regulations, including timely filings, accurate ITC claims, and proper documentation. All records (invoices, payment receipts, supplier agreements) are retained for 7 years per IRS requirements and are available for audit.

The company's tax department, led by CFO Amy Hood, oversees GST compliance. External auditors (Deloitte) have reviewed this return and confirmed alignment with prior submissions (e.g., Declarations.pdf, GST_Registration.pdf).

Compliance Check	Status	Supporting Document
Timely Filing	Completed (July 18, 2026)	GST_Registration.pdf
ITC Verification	Validated	Asset_Details.pdf
Reconciliation with Financials	Confirmed	Company_Profile.pdf
Audit Readiness	Ready	Declarations.pdf

7. Authorizations and Declarations

This GST return is authorized by Microsoft Corporation’s Board of Directors, with sign-off from CEO Satya Nadella and CFO Amy Hood. All information is accurate to the best of the company’s knowledge as of July 18, 2026.

The return is submitted under penalty of perjury, and Microsoft agrees to provide additional documentation upon request by tax authorities. No undisclosed liabilities or contingent tax exposures exist.

Authorized Signatory	Designation	Date
Satya Nadella	Chief Executive Officer	2026-07-18
Amy Hood	Chief Financial Officer	2026-07-18